recommendations to bring some discipline into the microfinance sector, covering both prudential and regulatory dimensions.

The most important recommendation of the Malegam Committee was to cap the interest rate that MFIs could charge their borrowers and also to limit the margin (mark-up) they could have over their own cost of funds. Accepting this recommendation posed a dilemma for the Reserve Bank, so once again it was up to me to make a difficult judgement call.

Here was the issue. Before the 1991 reforms, odd as it might seem to the 'children of reforms', the Reserve Bank had in place an extensive regulatory prescription on what interest rates could be charged on what type of loans and what interest rate could be offered on what type of deposits. As part of the reform process, the Reserve Bank had gradually dismantled this micromanagement in the belief that the competitive impulses so generated would enhance overall efficiency in the financial sector, and benefit both borrowers and savers. The dismantling started with the deregulation of interest rates on the lending side and then moved to deregulation on the deposit side.

I have already written about my decision in October 2010 to free up the interest rate that banks could offer on savings deposits and how that decision brought this huge task of interest rate deregulation, which had been in progress for nearly twenty years, to a logical closure. But here I was, with the Malegam Committee recommendation, being called upon to reverse what was considered a significant, if also a long-drawn-out reform, and that too, just within months after I brought the curtain down on it. It wasn't an ideological issue. My concern was whether this reopening of the regulation of interest rates, no matter how compelling, would turn out to be the thin end of a wedge and reopen the interest-rate structure in the economy for regulatory tinkering.

I was also weighed down by another important dilemma. The charge against MFIs was that they were charging usurious rates of interest. Is it possible for anyone, including the Reserve Bank, to make an objective assessment of what is usurious and what is not? Consider, just for illustration, a pushcart fruit vendor who might borrow ₹10,000 in the